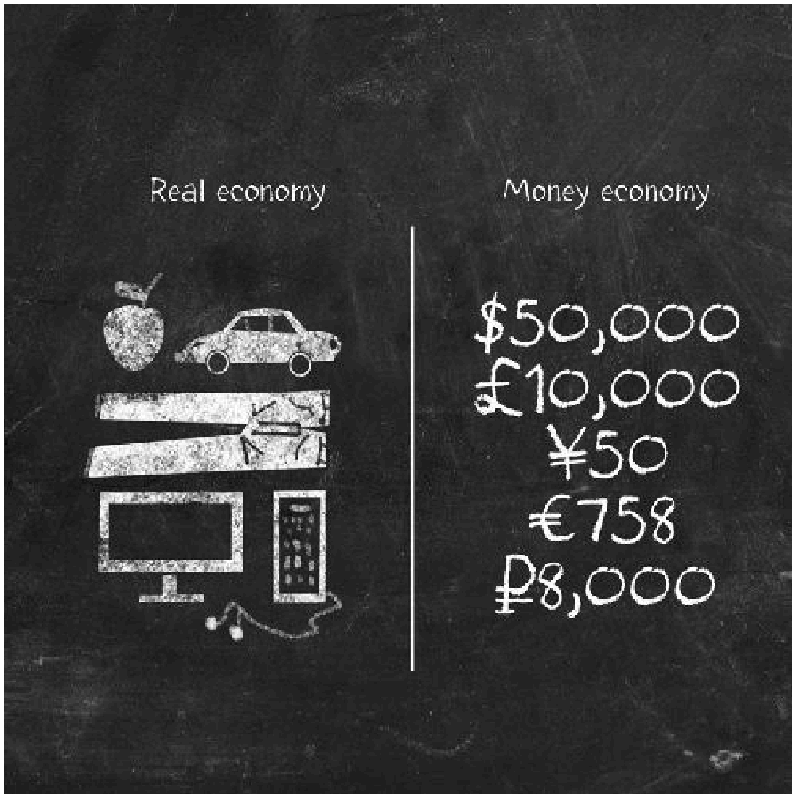
Money neutrality



People sometimes think of economics as the study of money and finance. In fact, its more fundamental aim is to analyse the production and allocation of 'real' goods: computers, pineapples, evening courses, heart operations and so on. Some economists – particularly those allied to the so-called classical school – think of money as little more than a veil over the real workings of the economy.

This leads to the idea of money neutrality – the notion that money itself has no effect on the real economy. If the money supply was doubled, the impact would be a doubling of prices; nothing would happen to production or the level of employment (see The quantity theory of money). Money neutrality underpins the 'classical dichotomy', the separation between the real and the nominal (money) sides of the economy. In contrast, Keynesian theories show how money can affect the real side of the economy. Most economists accept that this can happen in the short run, and that it is really in the long run that money neutrality may hold.